

NetEase

Existing game portfolio remains healthy; await next blockbuster title to drive share price

We update our model post 2Q26 results and maintain OW. Overall, we believe NetEase's operation is healthy: 1) despite no new blockbuster game launches, online game revenue by 10% YoY in 2Q26 (up from 7% in 1Q26), supported by various legacy games, e.g. Justice Mobile total users reached a new high in June; Eggy Party MAU remained at 100mn+, with mobile DAU reaching new highs during the summer vacation, supported by UGC; FWJ series revenue reached a new high; Where Winds Meet entered top 3 highest revenue ranking of Steam multiple times. We believe AI can help NetEase improve existing games' longevity (giving existing users a better game experience at reasonable cost). 2) Supported by a higher mix of PC/in-house games and channel cost optimization, 'game and VAS' GPM reached a new high (76.1%, +1.3ppts/+5.9ppts QoQ/YoY), driving operating profit growth of 29% YoY in 2Q26. We expect OP to grow 35%/28% in 3Q/4Q26. We lower 2026/27E game revenue growth from 10%/12% to 9%/10%, reflecting Sea of Remnants' weaker initial performance in China (management said on the earnings call that they are optimizing the game experience). We believe the game's international launch is the next key thing to watch. While NetEase has multiple new games in the pipeline, there is no visibility on launch timings (FWJ freemium mobile version is launching today, 21 Aug). Until there is a major new game timing announcement, we expect the share price to be range bound. However, we still expect healthy game revenue growth in 2H26 (9%/10% in 3Q/4Q26 due to the relatively low base and existing games' good momentum). We view the current 13x/11x 26/27E P/E (JPM) as attractive.

- **Share price outperformance requires another new blockbuster game.** While we remain positive on NetEase's long-term outlook, we believe share price outperformance will require another new blockbuster game. Major new game pipeline includes: 1) Sea of Remnants overseas launch (we estimate in 2H26, with the game showing better performance in overseas markets among hardcore gamers); 2) Ying (诡影藏锋), a Chinese horror-style survival action game - we note good gamer feedback on the game video trail; 3) Beneath the Mist (雾海之下), a cartoon style loot-and-extract action game; and 4) Ananta (无限大), an open-world city adventure RPG game. There will be new information on the game at [Gamescom 2026 on Aug 25](#).
- **Cut PTs, maintain OW.** We cut our NTES US/9999 HK PTs from US\$185/HK\$290 to US\$180/HK\$280 due to a 4% EPS cut in 2026E (lower game revenue and higher investment loss, offset by higher GPM). Our PTs are based on 19x 2026E P/E (cut from 20x, due to lower game revenue assumption and peer game companies' derating), in line with NetEase's 5-yr avg 12M trailing P/E.

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J.P. Morgan Securities (China) Company
Limited

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
NetEase	9999 HK	82,444	HKD	202.00	OW	n/c	280.00	Dec-27	290.00	n/c
NetEase (NTES)	NTES US	77,567	USD	119.81	OW	n/c	180.00	Dec-27	185.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 21 Aug 26 except for NTES US [20 Aug 26].

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Table 1: Netease forecast revisions

YE 31 Dec			FY2026			FY2027				
			%	Consens				%	Consens	
RMBm except for EPS	JPM old	JPM new	change	us	% delta	JPM old	JPM new	change	us	% delta
Net revenues	122,464	120,553	-2%	120,908	0%	134,806	130,069	-4%	130,476	0%
Games and related value-added services	101,575	99,985	-2%			113,455	109,217	-4%		
Youdao	6,173	6,121	-1%			6,459	6,335	-2%		
Cloud Music	8,222	7,914	-4%			8,616	8,190	-5%		
Innovative business and others	6,494	6,533	1%			6,276	6,326	1%		
Gross profit	84,393	84,363	0%	81,951	3%	94,362	92,364	-2%	89,098	4%
Opex	(37,552)	(37,379)	0%			(41,332)	(40,709)	-2%		
Product development	(17,388)	(17,201)	-1%			(18,872)	(18,566)	-2%		
Sales	(15,692)	(15,756)	0%			(17,157)	(16,948)	-1%		
G&A	(4,471)	(4,422)	-1%			(5,303)	(5,195)	-2%		
Operating profit (GAAP)	46,841	46,984	0%	44,345	6%	53,030	51,655	-3%	48,465	7%
Operating profit (non GAAP)	49,308	49,936	1%			55,745	55,032	-1%		
PBT (GAAP)	50,897	48,971	-4%	47,518	3%	57,413	55,948	-3%	53,438	5%
Net income (GAAP)	40,602	38,324	-6%	38,346	0%	45,889	44,574	-3%	43,248	3%
Net income (Non-GAAP)	43,069	41,276	-4%	41,055	1%	48,604	47,951	-1%	45,977	4%
EPADS (GAAP)										
Diluted (Rmb)	62.90	59.45	-5%	59.22	0%	71.09	69.18	-3%	68.30	1%
EPADS (Non GAAP)										
Diluted (Rmb)	66.73	64.03	-4%	63.61	1%	75.30	74.42	-1%	71.62	4%
Margin analysis (%)										
Gross margin	68.9%	70.0%		67.8%		70.0%	71.0%		68.3%	
OP margin (GAAP)	38.2%	39.0%		36.7%		39.3%	39.7%		37.1%	
OP margin (non-GAAP)	40.3%	41.4%				41.4%	42.3%			
Net margin (GAAP)	33.2%	31.8%		31.7%		34.0%	34.3%		33.1%	
Net margin (non GAAP)	35.2%	34.2%		34.0%		36.1%	36.9%		35.2%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.(as of Aug 21, 2026)

Overweight

9999.HK, 9999 HK

Price (21 Aug 26): HK\$202.00

▼ **Price Target (Dec-27): HK\$280.00**
Prior (Dec-27): HK\$290.00

China

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	13.47	12.89	-4.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	3.55	3.53A	3.81
Q2	2.99	2.42A	3.67
Q3	2.98	3.68	3.78
Q4	2.22	3.25	3.71
FY	11.74	12.89	14.97

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	21	25	29	28
Growth	67	64	55	84	39
Momentum	23	52	9	15	52
Quality	23	27	22	41	30
Low Vol	51	55	55	83	29
ESGQ	7	21	3	6	3

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

NetEase

Existing game portfolio remains healthy; await next blockbuster title to drive share price

We maintain our Overweight rating but cut our 9999 HK PT from HK\$290 to HK\$280 due to a 4% EPS cut in 2026E (lower game revenue and higher investment loss, offset by higher GPM). While we remain positive on NetEase's long-term outlook, we believe that share price outperformance will require another new blockbuster game. Our HK\$ PT is equal to one-fifth of our US\$ PT of US\$180 (as 1 ADS=5 common shares), converted into HK\$ using a 7.8 USD/HKD exchange rate.

Investment Thesis, Valuation and Risks

NetEase (Overweight; Price Target: HK\$280.00)

Investment Thesis

Overall, we believe NetEase's operation is healthy: 1) despite no new blockbuster game launches, online game revenue by 10% YoY in 2Q26 (up from 7% in 1Q26), supported by various legacy games. 2) Supported by a higher mix of PC/in-house games and channel cost optimization, 'game and VAS' GPM reached a new high, driving meaningful operating profit growth. We believe the international launch of Sea of Remnants is the next key thing to watch. While NetEase has multiple new games in the pipeline, there is no visibility on launch timing. Until there is a timing announcement of a major new game, we expect the share price to be range bound in the near term.

Valuation

Our Dec-27 PT of HK\$280 is equal to one-fifth of our US\$ PT of US\$180 (as 1 ADS=5 common shares), converted into HK\$ using a 7.8 USD/HKD exchange rate.

Risks to Rating and Price Target

Downside risks to our rating and price target include: Revenue declines for legacy titles; intensified competition in international game market; and stronger regulation of the China game industry.

Price Performance



Company Data

Shares O/S (mn)	3,201
52-week range (HK\$)	248.00-168.80
Market cap (\$ mn)	82,444
Exchange rate	7.84
Free float (%)	54.1%
3M ADV (mn)	9.04
3M ADV (\$ mn)	228.5
Volatility (90 Day)	38
Index	HSI
BBG ANR (Buy Hold Sell)	30 1 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	112,626	120,553	130,069	140,790
Adj. EBIT	35,835	46,984	51,655	57,222
Adj. EBITDA	38,308	49,511	54,252	59,891
Adj. net income	37,407	41,276	47,951	52,738
Adj. EPS	11.74	12.89	14.97	16.47
BBG EPS	12.22	13.02	14.25	15.55
Cashflow from operations	41,246	46,173	51,551	54,529
FCFF	38,768	43,641	48,949	50,164
Margins and Growth				
Revenue Growth Y/Y (%)	7.0%	7.0%	7.9%	8.2%
EBIT margin	31.8%	39.0%	39.7%	40.6%
EBIT Growth Y/Y (%)	21.1%	31.1%	9.9%	10.8%
EBITDA margin	34.0%	41.1%	41.7%	42.5%
EBITDA Growth Y/Y (%)	19.7%	29.2%	9.6%	10.4%
Net margin	33.2%	34.2%	36.9%	37.5%
Adj. EPS growth	11.9%	9.8%	16.1%	10.0%
Ratios				
Adj. tax rate	14.8%	20.3%	19.0%	19.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	25.2%	24.6%	25.3%	25.9%
Valuation				
FCFF yield	7.0%	7.9%	8.8%	9.0%
Dividend yield	12.4%	16.2%	17.7%	38.0%
EV/Revenue	3.5	3.0	2.6	2.3
EV/EBITDA	10.2	7.4	6.2	5.5
Adj. P/E	14.8	13.4	11.6	10.5

Summary Investment Thesis and Valuation

Overall, we believe NetEase's operation is healthy: 1) despite no new blockbuster game launches, online game revenue by 10% YoY in 2Q26 (up from 7% in 1Q26), supported by various legacy games. 2) Supported by a higher mix of PC/in-house games and channel cost optimization, 'game and VAS' GPM reached a new high, driving meaningful operating profit growth. We believe the international launch of Sea of Remnants is the next key thing to watch. While NetEase has multiple new games in the pipeline, there is no visibility on launch timing. Until there is a timing announcement of a major new game, we expect the share price to be range bound in the near term.

Our Dec-27 PT of HK\$280 is equal to one-fifth of our US\$ PT of US\$180 (as 1 ADS=5 common shares), converted into HK\$ using a 7.8 USD/HKD exchange rate.

Performance Drivers

Market	9%
Region	18%
Macro	11%
Style	2%
Idiosyn.	60%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.18	0.30
Region: China	0.40	0.45
Macro:		
Emerging Central Bank Rate	-0.29	-0.28
Emerging Economies CPI(YoY)	0.32	0.28
Generic 1st 'CO' Future	0.24	0.17
Quant Styles:		
Momentum	-0.45	-0.26
Quality	-0.01	0.17
Size	-0.34	-0.15

NetEase: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	105,295	112,626	120,553	130,069	140,790	Revenue	30,591	30,107	30,239	29,616	
COGS	(39,488)	(40,224)	(36,190)	(37,705)	(39,682)	COGS	(9,374)	(8,889)	(8,932)	(8,995)	
Gross profit	65,807	72,402	84,363	92,364	101,108	Gross profit	21,217	21,217	21,307	20,622	
SG&A	(17,524)	(17,799)	(18,218)	(19,809)	(21,268)	SG&A	(3,936)	(4,282)	(5,201)	(4,798)	
Adj. EBITDA	32,002	38,308	49,511	54,252	59,891	Adj. EBITDA	13,289	12,721	11,871	11,630	
D&A	(2,418)	(2,474)	(2,527)	(2,597)	(2,670)	D&A	(632)	(632)	(632)	(632)	
Adj. EBIT	29,584	35,835	46,984	51,655	57,222	Adj. EBIT	12,657	12,089	11,239	10,998	
Net Interest	4,921	3,953	3,693	3,693	3,693	Net Interest	890	863	937	1,002	
Adj. PBT	35,718	40,830	48,971	55,948	61,514	Adj. PBT	13,369	9,625	13,826	12,151	
Tax	(5,461)	(6,033)	(9,918)	(10,630)	(11,688)	Tax	(2,524)	(2,459)	(2,627)	(2,309)	
Minority Interest	(559)	(1,038)	(729)	(744)	(744)	Minority Interest	(171)	(186)	(186)	(186)	
Adj. Net Income	33,581	37,407	41,276	47,951	52,738	Adj. Net Income	11,290	7,762	11,798	10,425	
Reported EPS	9.28	10.59	11.97	13.92	15.32	Reported EPS	3.34	2.18	3.44	3.01	
Adj. EPS	10.49	11.74	12.89	14.97	16.47	Adj. EPS	3.53	2.42	3.68	3.25	
DPS	18.66	21.47	28.04	30.65	65.80	DPS	4.97	4.89	5.25	12.95	
Payout ratio	201.1%	202.6%	234.3%	220.3%	429.4%	Payout ratio	148.8%	224.2%	152.7%	429.4%	
Shares outstanding	3,200	3,186	3,202	3,203	3,203	Shares outstanding	3,198	3,203	3,203	3,203	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	54,470	81,051	107,673	136,873	144,639	Gross margin	62.5%	64.3%	70.0%	71.0%	71.8%
Accounts receivable	5,669	6,064	6,490	7,003	7,580	EBITDA margin	30.4%	34.0%	41.1%	41.7%	42.5%
Inventories	572	572	572	572	572	EBIT margin	28.1%	31.8%	39.0%	39.7%	40.6%
Other current assets	92,614	90,614	88,614	86,614	86,614	Net profit margin	31.9%	33.2%	34.2%	36.9%	37.5%
Current assets	153,325	178,300	203,349	231,062	239,405	ROE	25.5%	25.2%	24.6%	25.3%	25.9%
PP&E	8,520	8,524	8,529	8,534	10,228	ROA	17.6%	17.9%	17.7%	18.5%	19.0%
LT investments	3,025	3,757	2,308	2,308	2,308	ROCE	17.0%	19.0%	20.8%	20.8%	21.5%
Other non current assets	31,122	31,122	31,122	31,122	31,122	SG&A/Sales	16.6%	15.8%	15.1%	15.2%	15.1%
Total assets	195,992	221,703	245,308	273,026	283,063	Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	11,805	11,805	11,805	11,805	11,805	P/E (x)	16.5	14.8	13.4	11.6	10.5
Payables	721	771	825	890	963	P/BV (x)	4.0	3.5	3.1	2.8	2.7
Other short term liabilities	37,142	42,268	45,243	48,815	52,838	EV/EBITDA (x)	13.0	10.2	7.4	6.2	5.5
Current liabilities	49,668	54,844	57,873	61,510	65,607	Dividend Yield	10.8%	12.4%	16.2%	17.7%	38.0%
Long-term debt	428	428	428	428	428	Sales/Assets (x)	0.6	0.5	0.5	0.5	0.5
Other long term liabilities	3,402	3,830	3,830	3,830	3,830	Interest cover (x)	NM	NM	NM	NM	NM
Total liabilities	53,497	59,102	62,131	65,767	69,864	Operating leverage	383.2%	303.5%	442.0%	126.0%	130.7%
Shareholders' equity	138,686	157,754	177,601	200,939	206,136	Revenue y/y Growth	1.8%	7.0%	7.0%	7.9%	8.2%
Minority interests	3,809	4,847	5,576	6,319	7,063	EBITDA y/y Growth	4.0%	19.7%	29.2%	9.6%	10.4%
Total liabilities & equity	195,992	221,703	245,308	273,026	283,063	Tax rate	15.3%	14.8%	20.3%	19.0%	19.0%
BVPS	43.33	49.51	55.47	62.73	64.36	Adj. Net Income y/y Growth	2.8%	11.4%	10.3%	16.2%	10.0%
y/y Growth	12.1%	14.3%	12.0%	13.1%	2.6%	EPS y/y Growth	3.3%	11.9%	9.8%	16.1%	10.0%
Net debt/(cash)	(117,678)	(144,259)	(170,881)	(200,081)	(207,847)	DPS y/y Growth	2.0%	15.1%	30.6%	9.3%	114.7%
Cash flow from operating activities	39,677	41,246	46,173	51,551	54,529						
o/w Depreciation & amortization	2,418	2,474	2,527	2,597	2,670						
o/w Changes in working capital	3,652	4,782	2,603	3,124	3,520						
Cash flow from investing activities	17,916	(2,478)	(2,532)	(2,601)	(4,364)						
o/w Capital expenditure	(1,275)	(2,478)	(2,532)	(2,601)	(4,364)						
as % of sales	1.2%	2.2%	2.1%	2.0%	3.1%						
Cash flow from financing activities	(27,336)	(13,391)	(18,078)	(19,749)	(42,399)						
o/w Dividends paid	(11,165)	(13,819)	(18,078)	(19,749)	(42,399)						
o/w Net debt issued/(repaid)	0	0	0	0	0						
Net change in cash	30,264	26,153	26,622	29,200	7,766						
Adj. Free cash flow to firm	38,401	38,768	43,641	48,949	50,164						
y/y Growth	16.2%	1.0%	12.6%	12.2%	2.5%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

NetEase (NTES)

Overweight

NTES,NTES US

Price (20 Aug 26): \$119.81

▼ **Price Target (Dec-27): \$180.00**

Prior (Dec-27): \$185.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	66.73	64.03	-4.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	58.12	64.03	74.42

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	19	23	23	23
Growth	29	17	37	54	35
Momentum	35	54	10	12	60
Quality	8	3	10	16	24
Low Vol	40	52	50	76	54
ESGQ	7	21	3	6	3

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Existing game portfolio remain healthy; await next blockbuster title to drive share price

We maintain our Overweight rating but cut our NTES PT from US\$185 to US\$180 due to a 4% EPS cut in 2026E (lower game revenue and higher investment loss, offset by higher GPM). While we remain positive on NetEase's long-term outlook, we believe that share price outperformance will require another new blockbuster game. Our PT is based on 19x 2026E P/E (cut from 20x, due to lower game revenue assumption and de-rate of peer game companies), in line with NetEase's five-year average 12M trailing P/E.

Investment Thesis, Valuation and Risks

NetEase (Overweight; Price Target: \$180.00)

Investment Thesis

Overall, we believe NetEase's operation is healthy: 1) despite no new blockbuster game launches, online game revenue by 10% YoY in 2Q26 (up from 7% in 1Q26), supported by various legacy games. 2) Supported by a higher mix of PC/in-house games and channel cost optimization, 'game and VAS' GPM reached a new high, driving meaningful operating profit growth. We believe the international launch of Sea of Remnants is the next key thing to watch. While NetEase has multiple new games in the pipeline, there is no visibility on launch timing. Until there is a timing announcement of a major new game, we expect the share price to be range bound in the near term.

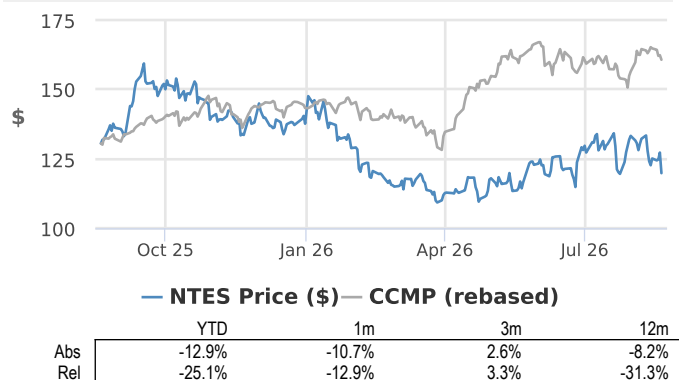
Valuation

Our Dec-27 PT of US\$180 is based on 19x 2026E P/E, in line with NetEase's five-year average 12M trailing P/E.

Risks to Rating and Price Target

Downside risks to our rating and price target include: Revenue declines for legacy titles; intensified competition in international game market; and stronger regulation of the China game industry.

Price Performance



Company Data

Shares O/S (mn)	647
52-week range (\$)	159.55-106.06
Market cap (\$ mn)	77,567
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	1.02
3M ADV (\$ mn)	127.4
Volatility (90 Day)	38
Index	NASDAQ COMPOSITE
BBG ANR (Buy Hold Sell)	26 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	112,626	120,553	130,069	140,790
Adj. EBIT	35,835	46,984	51,655	57,222
Adj. EBITDA	38,308	49,511	54,252	59,891
Adj. net income	37,407	41,276	47,951	52,738
Adj. EPS	58.12	64.03	74.42	81.85
BBG EPS	61.12	63.73	71.46	77.75
Cashflow from operations	41,246	46,173	51,551	54,529
FCFF	42,137	46,586	51,940	53,155
Margins and Growth				
Revenue Growth Y/Y (%)	7.0%	7.0%	7.9%	8.2%
EBIT margin	31.8%	39.0%	39.7%	40.6%
EBIT Growth Y/Y (%)	21.1%	31.1%	9.9%	10.8%
EBITDA margin	34.0%	41.1%	41.7%	42.5%
EBITDA Growth Y/Y (%)	19.7%	29.2%	9.6%	10.4%
Net margin	33.2%	34.2%	36.9%	37.5%
Adj. EPS growth	11.8%	10.2%	16.2%	10.0%
Ratios				
Adj. tax rate	14.8%	20.3%	19.0%	19.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	25.3%	24.6%	25.3%	25.9%
Valuation				
FCFF yield	8.1%	9.0%	10.0%	10.2%
Dividend yield	2.7%	3.5%	3.8%	8.2%
EV/Revenue	3.4	3.0	2.5	2.3
EV/EBITDA	10.0	7.2	6.0	5.4
Adj. P/E	13.9	12.6	10.8	9.8

Summary Investment Thesis and Valuation

Overall, we believe NetEase's operation is healthy: 1) despite no new blockbuster game launches, online game revenue by 10% YoY in 2Q26 (up from 7% in 1Q26), supported by various legacy games. 2) Supported by a higher mix of PC/in-house games and channel cost optimization, 'game and VAS' GPM reached a new high, driving meaningful operating profit growth. We believe the international launch of Sea of Remnants is the next key thing to watch. While NetEase has multiple new games in the pipeline, there is no visibility on launch timing. Until there is a timing announcement of a major new game, we expect the share price to be range bound in the near term.

Our Dec-27 PT of US\$180 is based on 19x 2026E P/E, in line with NetEase's five-year average 12M trailing P/E.

Performance Drivers

Market	2%
Region	13%
Macro	9%
Style	6%
Idiosyn.	71%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.04	0.15
Region: China	0.33	0.36
Macro:		
Emerging Central Bank Rate	-0.19	-0.26
JP Morgan GBI-EM Global Div	0.15	0.19
Emerging Economies CPI(YoY)	0.19	0.17
Quant Styles:		
Momentum	-0.48	-0.30
Growth	-0.30	-0.15
DivYld	0.24	0.14

NetEase (NTES): Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	105,295	112,626	120,553	130,069	140,790	Revenue	-	-	-	-	
COGS	(39,488)	(40,224)	(36,190)	(37,705)	(39,682)	COGS	-	-	-	-	
Gross profit	65,807	72,402	84,363	92,364	101,108	Gross profit	-	-	-	-	
SG&A	(17,524)	(17,799)	(18,218)	(19,809)	(21,268)	SG&A	-	-	-	-	
Adj. EBITDA	32,002	38,308	49,511	54,252	59,891	Adj. EBITDA	0	0	0	0	
D&A	(2,418)	(2,474)	(2,527)	(2,597)	(2,670)	D&A	-	-	-	-	
Adj. EBIT	29,584	35,835	46,984	51,655	57,222	Adj. EBIT	0	0	0	0	
Net Interest	4,921	3,953	3,693	3,693	3,693	Net Interest	-	-	-	-	
Adj. PBT	35,718	40,830	48,971	55,948	61,514	Adj. PBT	0	0	0	0	
Tax	(5,461)	(6,033)	(9,918)	(10,630)	(11,688)	Tax	-	-	-	-	
Minority Interest	(559)	(1,038)	(729)	(744)	(744)	Minority Interest	-	-	-	-	
Adj. Net Income	33,581	37,407	41,276	47,951	52,738	Adj. Net Income	0	0	0	0	
Reported EPS	45.96	52.45	59.45	69.18	76.18	Reported EPS	-	-	-	-	
Adj. EPS	51.97	58.12	64.03	74.42	81.85	Adj. EPS	-	-	-	-	
DPS	18.66	21.47	28.04	30.65	65.80	DPS	-	-	-	-	
Payout ratio	40.6%	40.9%	47.2%	44.3%	86.4%	Payout ratio	-	-	-	-	
Shares outstanding	646	644	645	644	644	Shares outstanding	-	-	-	-	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	54,470	81,051	107,673	136,873	144,639	Gross margin	62.5%	64.3%	70.0%	71.0%	71.8%
Accounts receivable	5,669	6,064	6,490	7,003	7,580	EBITDA margin	30.4%	34.0%	41.1%	41.7%	42.5%
Inventories	572	572	572	572	572	EBIT margin	28.1%	31.8%	39.0%	39.7%	40.6%
Other current assets	92,614	90,614	88,614	86,614	86,614	Net profit margin	31.9%	33.2%	34.2%	36.9%	37.5%
Current assets	153,325	178,300	203,349	231,062	239,405	ROE	24.3%	25.3%	24.6%	25.3%	25.9%
PP&E	8,520	8,524	8,529	8,534	10,228	ROA	17.1%	17.9%	17.7%	18.5%	19.0%
LT investments	3,025	3,757	2,308	2,308	2,308	ROCE	16.7%	19.1%	20.8%	20.8%	21.5%
Other non current assets	31,122	31,122	31,122	31,122	31,122	SG&A/Sales	16.6%	15.8%	15.1%	15.2%	15.1%
Total assets	195,992	221,703	245,308	273,026	283,063	Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	11,805	11,805	11,805	11,805	11,805	P/E (x)	15.5	13.9	12.6	10.8	9.8
Payables	721	771	825	890	963	P/BV (x)	3.8	3.3	2.9	2.6	2.5
Other short term liabilities	37,142	42,268	45,243	48,815	52,838	EV/EBITDA (x)	12.8	10.0	7.2	6.0	5.4
Current liabilities	49,668	54,844	57,873	61,510	65,607	Dividend Yield	2.3%	2.7%	3.5%	3.8%	8.2%
Long-term debt	428	428	428	428	428	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Other long term liabilities	3,402	3,830	3,830	3,830	3,830	Interest cover (x)	-	-	-	-	-
Total liabilities	53,497	59,102	62,131	65,767	69,864	Operating leverage	-	303.5%	442.0%	126.0%	130.7%
Shareholders' equity	137,648	157,754	177,601	200,939	206,136	Revenue y/y Growth	0.0%	7.0%	7.0%	7.9%	8.2%
Minority interests	4,847	4,847	5,576	6,319	7,063	EBITDA y/y Growth	0.0%	19.7%	29.2%	9.6%	10.4%
Total liabilities & equity	195,992	221,703	245,308	273,026	283,063	Tax rate	15.3%	14.8%	20.3%	19.0%	19.0%
BVPS	213.04	245.10	275.52	311.86	319.92	Adj. Net Income y/y Growth	0.0%	11.4%	10.3%	16.2%	10.0%
y/y Growth	(0.7%)	15.1%	12.4%	13.2%	2.6%	EPS y/y Growth	0.0%	11.8%	10.2%	16.2%	10.0%
Net debt/(cash)	(117,678)	(144,259)	(170,881)	(200,081)	(207,847)	DPS y/y Growth	0.0%	15.1%	30.6%	9.3%	114.7%
Cash flow from operating activities	39,677	41,246	46,173	51,551	54,529						
o/w Depreciation & amortization	2,418	2,474	2,527	2,597	2,670						
o/w Changes in working capital	3,652	4,782	2,603	3,124	3,520						
Cash flow from investing activities	17,916	(2,478)	(2,532)	(2,601)	(4,364)						
o/w Capital expenditure	(1,275)	(2,478)	(2,532)	(2,601)	(4,364)						
as % of sales	1.2%	2.2%	2.1%	2.0%	3.1%						
Cash flow from financing activities	(27,336)	(13,391)	(18,078)	(19,749)	(42,399)						
o/w Dividends paid	(11,165)	(13,819)	(18,078)	(19,749)	(42,399)						
o/w Net debt issued/(repaid)	0	0	0	0	0						
Net change in cash	30,264	26,153	26,622	29,200	7,766						
Adj. Free cash flow to firm	42,570	42,137	46,586	51,940	53,155						
y/y Growth	10.9%	(1.0%)	10.6%	11.5%	2.3%						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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NetEase (9999.HK, 9999 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
28-Aug-23	OW	153.50	195
20-Nov-23	OW	179.40	200
13-Dec-23	OW	165.50	195
04-Mar-24	OW	172.80	200
30-Aug-24	OW	126.90	170
28-Nov-24	OW	136.40	185
18-May-25	OW	190.00	210
27-Jul-25	N	213.00	220
18-Aug-25	N	200.20	215
10-Oct-25	OW	240.40	295
12-Feb-26	OW	195.00	280
26-May-26	OW	181.50	290

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 11, 2021. All share prices are as of market close on the previous business day.

NetEase (NTES) (NTES, NTES US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
28-Aug-23	OW	98.76	125
20-Nov-23	OW	117.14	130
13-Dec-23	OW	106.67	125
04-Mar-24	OW	110.49	130
30-Aug-24	OW	80.53	110
28-Nov-24	OW	86.56	120
18-May-25	OW	119.58	135
27-Jul-25	N	135.48	140
18-Aug-25	N	129.22	138
10-Oct-25	OW	151.64	190
12-Feb-26	OW	118.50	180
26-May-26	OW	116.55	185

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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